Formosa

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AMERICAN CONSULATE
Taipei (Taihoku), Taiwan (Formosa)
August 11, 1947

A Brief Resume of Postwar Conditions on the Island of Taiwan

It was agreed at the Cairo Conference held in November 1943 that the island of Taiwan, popularly known outside of China and Japan as Formosa (from the original Portuguese "Isla Formosa" or "Beautiful Island"), which Japan acquired as one result of her victory in the Sino-Japanese War of 1895, would be returned to China upon the conclusion of World War II. Formal ceremonies by which Japan surrendered Taiwan to China were held on October 25, 1945 at the island's capital city of Taipei. De jure, rather than the present de facto, Chinese sovereignty over Taiwan, however, will not be technically achieved until a peace treaty with Japan is concluded.

Taiwan has an area of 13,807 square miles, roughly comparable to the Netherlands (13,202 square miles) or to the combined areas of Massachusetts and Connecticut (13,266 square miles). It has a total population of approximately 6,300,000, all of whom, except for some 160,000 aboriginees, are of Chinese (including Hakka) racial origin. This population figure excludes some 300,000 Japanese civilians and 160,000 Japanese military who were repatriated under United States auspices at the end of the war. It is presently extimated that there remain on the island fewer than 500 Japanese, mostly technicians whom the Chinese are still retaining, and who with their dependents probably do not exceed a total of 1,800. Under the Japanese, Taiwan was used as a tropical research laboratory in preparation for the execution of their southward advancement policy and as an important source of foodstuffs, principally rice, sugar, tea and fresh fruits, as well as lumber, camphor and semi-processed manufactures.

The Pescadores, a group of approximately 64 islands in the Formosa Straits with a land area of 50 square miles and a total population in July 1946 of about 72,000, form a part of the political administrative unit of Taiwan taken over from the Japanese and is so governed at this time.

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Political

Upon assuming control of Taiwan in 1945, the Chinese in large part retained the Government General system of the Japanese and administered the island as a colonial appendage of China under General Chen Yi, as Governor General. Chen Yi, a former Governor of Fukien Province whose regime there was marked by bitter popular resentment and ruthless suppression of dissident elements, remained as Governor General until May 1947 after events leading up to open rebellion and his consequent but reluctant removal by Generalissimo Chiang Kai-shek, whose confidence and support he apparently enjoys. (Chiang is understood to have remarked to Ambassador Stuart at Nanking in March 1947 that he was at a loss to understand the deterioration of the political and economic situation on Taiwan since Chen Yi was one of his ablest administrators.)

The arrival from the mainland of the new Chinese administrators and their accompanying Chinese military forces was warmly acclaimed by the Taiwanese as signalling their liberation from their former Japanese masters and their return to the mother country. Within a matter of months this feeling of welcome towards their mainland "brothers" changed into one of disillusionment and growing dissatisfaction. By the end of 1946 there were increasingly frequent open criticisms of the Chen Yi regime, with the people comparing unfavorably their lot under mainland Chinese control with that which they experienced under the Japanese. The principal points of complaint were that Taiwanese were not given a voice in the government of their island, as they assumed, perhaps without mature thought on the subject, would be the case when the Japanese were eliminated, and that inefficiency, corruption and general maladministration on the part of their mainland rulers was rapidly driving their standard of living down to China coast levels. The so-called February 28 Incident, which had its inception in the relatively minor case of the killing of two vendors of untaxed cigarettes at Taipei and flared during March 1947 into open resistance throughout the island against Government forces, was an unorganized and, from the Taiwanese point of view, ill-timed manifestation of the mushrooming discontent.

The Taiwan uprising had been quelled by reinforced Government troops by the end of March 1947, while during April there continued the campaign of seizing Taiwanese who, it appeared, might form a nucleus of leadership in any future revolt. The fate of a number of those seized remains undisclosed at this time, and reports of additional seizures, although on a much smaller scale, are still being received. General Chen Yi relinquished his post on May 11 and was replaced by Dr. Wei Tao-ming at the head of a provincial form of government established on May 16. It is generally assumed on Taiwan that Dr. Wei, as a former Chinese Ambassador to the United States, was selected to lead the new administration on the island because of the favorable impression that it was hoped his appointment would make on American public opinion. A sensitivity to

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the reaction that developments on Taiwan may produce in the United States has been frequently displayed by local officials, and is doubtless a concern stemming, at least in part, from the realization which they occasionally exhibit in informal discussions that Chinese jurisdiction over the island has not yet been definitively acquired in a full legal sense.

A number of Taiwanese, but not a controlling number, has been admitted into the new Taiwan Provincial Government in higher ranking positions. Most of those so appointed, however, are persons who have been absent from Taiwan for a number of years and reflect a mainland Chinese approach to the problems confronting the island. Whether the three or four Taiwanese appointees who have been continuously in intimate association with events on Taiwan, both under the Japanese and subsequently, will exert any real influence in the administration has not yet been clearly demonstrated. General Chen Yi, in his concurrent capacity as Taiwan Garrison Commander, was replaced by General Peng Meng-chi, previously Commander of the Kaohsiung (Takao) Fortress. In his former post General Peng, possibly acting under Chen Yi's instructions, was responsible for the wanton reign of terror adopted to suppress the February 28 Incident uprisings in the Kaohsiung area. While it has been announced that Wei Tao-ming, as Chairman of the Taiwan Provincial Commission, exercises control over the Chinese military on the island, evidence so far available points to the latter's being in a position to act as a law unto itself. This has been particularly noticeable in districts away from Taipei. The impression gained up to the present is that Dr. Wei and his civilian administration either are unable to control the military or are giving it a free hand.

In matters of over-all administrative policy, there has since Dr. Wei's arrival been some relaxation in theory of the stringent controls set up under the Chen Yi regime to operate the island's economy on a rigid state-controlled, monopolistic basis. In practice, there has not been a material improvement in the outlook for individual Taiwanese, other than for certain of those forming the wealthier class, to overcome the basic criticism that Taiwan is by design being administered in a manner whereby the interests of the islanders are at best secondary to those of mainlanders. The people resent the draining off of the productive wealth of their island for the benefit of China proper without a commensurate return, and they lack to a much greater extent than even on the mainland a national consciousness and a sense of identification with the interests of the Central Government.

There has existed a widespread desire among thinking Taiwanese, as well as among some Chinese, for a system of temporary foreign tutelage or trusteeship, which has not been suppressed with what the Government has termed the settlement of the February 28 Incident. The general feeling is that during the present period of turmoil on the mainland Taiwan will only have an opportunity to regain

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the relative prosperity that they enjoyed under the Japanese and to be able to build on that base for the island's own welfare if a separation from China's political and economic disorders can be achieved under some form of foreign control. Such non-Chinese control, preferably by the United States or the United Nations in the order named, but assumably upon the initiative of the former, would, according to the popular belief but the now waning hope of materialization, provide the efficiency and administrative integrity in which the existing governmental system is deficient. The spreading realization among Taiwanese, however, that there is little or no likelihood of effective political intervention by the United States directed primarily towards an improvement in their situation, whether or not it is appreciated that a policy of bolstering the failing Chiang Kai-shek Government motivates against overt interference in Taiwan's affairs, is being accompanied by a noticeable lessening in what was heretofore overwhelming American popularity and prestige.

So long as conditions are permitted to prevail which cause Taiwanese to wish for foreign intervention, the Central authorities are at the same time making of Taiwan a fertile field where the sowing of Communist propaganda can conceivably result in the reaping of a bountiful harvest. While it is difficult to assess accurately the scope of their activities, there are increasing indications that Chinese Communist agents are commencing to capitalize upon the opportunities that are being handed them.

In summary, China's political record on Taiwan since the take-over from the Japanese has been one of failure, if success is to be judged by the degree to which Taiwanese now approve of the Chinese jurisdiction that they originally welcomed.

Economic

In a strict economic sense, progress has been made under the Chinese in increasing the agricultural, industrial and commercial activity of the island above the low levels to which it had sunk by war's end. This is true despite criticisms, some of which are well founded, that the rate of recovery has been unduly retarded because of the governmental policy of economic monopolization, burdensome official controls and administrative and technical ineptitude, inefficiency and corruption.

The principal economic problems confronting the Chinese administration since its reestablishment on Taiwan and a brief summary of outstanding economic developments are set forth in Attachments 1 and 2 to this memorandum, in which there are quoted excerpts from two reports of the American Consulate at Taipei, as follows:

Attachment 1.

Taiwan in Transition--Critical Problems Faced. Prepared as of September 1946.

Attachment 2

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Attachment 2.

Economic Conditions--Taiwan, 1946. Prepared as of January 1947.

As Attachment 3 hereto, there is presented a more recent review covering agricultural conditions on Taiwan prepared as of June 1947 by Dr. Pierre G. Sylvain, Agricultural Rehabilitation Officer of UNRRA. Dr. Sylvain has kindly made this report available for the use of General Wedemeyer and the members of his mission.

It has not been possible to obtain current and comprehensive statistics relating to industrial activity on Taiwan. The figures given in Attachment 4 may be found of use, however, and indicate the principal items of industrial production on the island under the Japanese, total production in 1942, the year of highest production and the quantity produced during that year, the extent of damage to production facilities as of the time of the take-over from the Japanese in October 1945 and the rate of production, on a monthly basis, reached under the Chinese by May 1946.

Financial

Inflation has not spread on Taiwan to the same extent as in China proper, although there have been sharply increasing prices. Labor costs are relatively lower than on the mainland and labor unrest, while increasing, is also less. The general index of retail prices at Taipei, with the period from January to June 1937 representing 100, rose to 2,965.1 for 1945 and 9,683.6 for 1946. The last two figures are yearly averages; the index number increased from 9,872.3 for June 1946 to 12,066.2 for December 1946. The further sharp upward trend in the retail price index, with an approximate threefold increase for July 1947 over December 1946, is shown in the following figures for the first seven months of the present year:

January	14,800.9
February	23,871.0
March	29,371.3
April	28,977.4
May	31,249.2
June	33,512.2
July	36,182.2

The Taiwan yen has been retained as the unit of currency, and the monetary system is operated independently of that on the mainland. The official exchange rate for Taiwan yen and Chinese National dollars is presently fixed at 1 to 65. The exchange value of Taiwan yen in terms of Chinese currency has been successively raised to correspond roughly with downward revisions in the foreign exchange value of the Chinese dollar and to counteract the relatively higher inflation spiral in continental China. The former Japanese Government-controlled Bank of Taiwan was taken over by the Chinese and functions, under the ultimate supervision of the Ministry of Finance at Nanking, as the sole

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bank of issue and as the repository for official funds. The Bank of Taiwan was authorized in February 1947 to handle transactions in foreign exchange. The current official buying rate for United States currency is T¥179.10 equals US$1.00, as compared to a black market rate of approximately 800 to 1. The Bank quotes no official selling rates for foreign currencies.

The practice has been fairly general among both official and non-official organizations and firms on the island to use excess Taiwan currency funds to acquire local produce as a hedge against inflation. The corollary practice of consigning such produce to Hong Kong, as the nearest source of foreign currency and without the production of foreign exchange as ordinarily required by Chinese regulation, is understood to have been stopped within the past few months.

Attachments:

1. Excerpts from Consular report entitled "Taiwan in Transition--Critical Problems Faced."

2. Excerpts from Consular report entitled "Economic Conditions--Taiwan, 1946."

3. UNRRA report entitled "Agricultural Conditions in Taiwan."

4. Table of industrial production on Taiwan.

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